

exchange traded funds (ETFs). Set Protocol combines cryptoassets into *Sets*, which are ERC-20 tokens and fully collateralized by the components escrowed in a smart contract. A Set token is always redeemable for its components. Sets can be static or dynamic, based on a trading strategy. Static Sets are straightforward to understand and are simply bundled tokens the investor cares about; the resulting Set can be transferred as a single unit.

Dynamic Sets define a trading strategy that determines when reallocations can be made and at what times. Some examples include the “Moving Average” Sets that shift between 100 percent ETH and 100 percent USDC whenever ETH crosses its X-day simple or exponentially weighted moving average. Similar to normal ETFs, these Set tokens have fees and sometimes performance-related incentives. At the Set’s creation, the manager pre-programs the fees, which are paid directly to the manager for that particular Set. The available fee options are a buy fee (front-end load fee), a streaming fee (management fee), and a performance fee (percentage of profits over a high-water mark). The Set Protocol currently takes no fee for itself, although it may add a fee in the future. The prices and returns for Set Protocol are calculated via MakerDAOs’ publicly available oracle price feeds, which are also used by Synthetix. The main value-add of dynamic Sets is that the trading strategies are publicly encoded in a smart contract so users know exactly how their funds are being allocated and can easily redeem at any time.